After all, if a system is eventually discovered that beats the market, then more and more people will use it, and whatever advantage there was will be absorbed into the market and disappear.

A good example is the so-called January Effect. As noted earlier, over time small-company stocks have outperformed blue chip stocks. A large portion of this superior behavior has taken place in January—or, more precisely, the last two days in December and the first week of January. This odd occurrence was quite reliable—and useful—until it was discovered and broadcast. After two professors published a breathless book about the January Effect,* it fled the scene and ceased to be a reliable event.

So far I've done well with my old-fashioned ways, though it's become a good deal tougher to get an edge and make unusual money in the U.S. market, with information transmitted so rapidly that everybody knows everything at the same time. I am reminded of John Henry, who, you may remember from the song, was "a steel-driving man" capable of pounding in railroad spikes at an astonishing rate. One day they matched him against a newfangled steam drill, and sure enough, he beat the machine. But only one day in a row. On the second day the steam drill was just as able to drive spikes as it had been on the first day, but John Henry had exhausted himself. "He laid down his hammer and he died, Lord, Lord."

Is somebody going to come up with a computer version of a stock market steam drill that will beat everybody else—at least until others catch on and invent equally effective drills? I think the answer to that is maybe. I haven't seen it, but at some point it may happen. I guess at that juncture I will just lay down my hammer and meet my Lord.

*Robert A. Haugen and Josef Lakonishok, *The Incredible January Effect: The Stock Market's Unsolved Mystery* (Homewood, Ill.: Dow-Jones-Irwin, 1988).